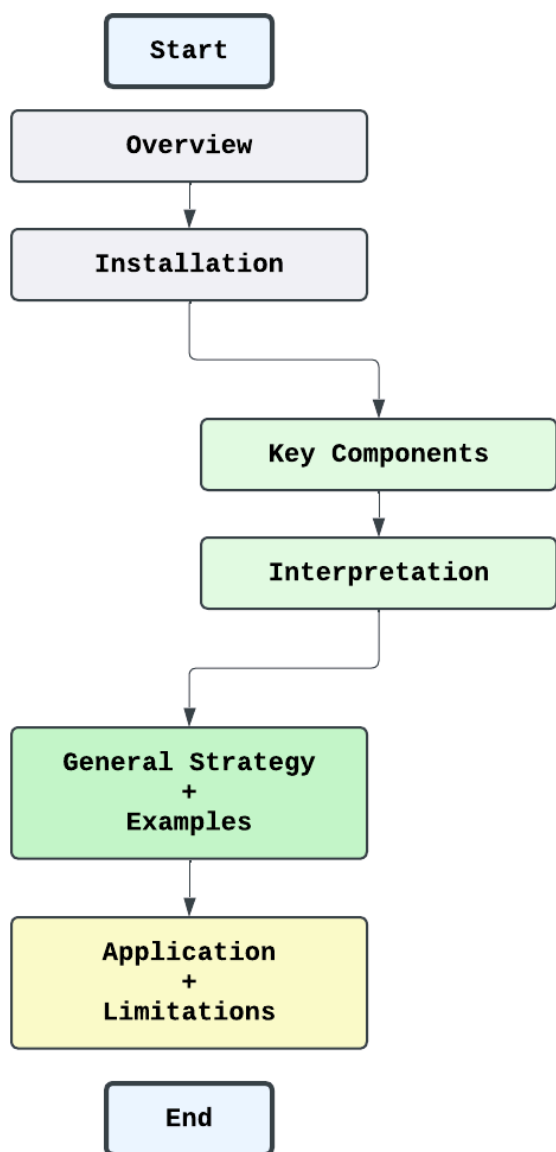




AVERAGE RANGE INDICATOR

ONBOARDING DOCUMENTATION v1.0

This document is designed to help new users set up and understand the **Average Range** indicator. The guide will walk you through its features, interpretation, and best practices.

A. Overview

The **Average Range** indicator creates a dynamic, time-weighted price boundary to identify mean reversion zones, overextensions, and high-probability reversal points.

It answers (2) key questions:

1. What is the average price range?

2. How far is price stretched from the average range?

It's great for (2) things:

1. Spotting when price is **stretched too far** (mean reversion trading)

2. Defining the current **price range**

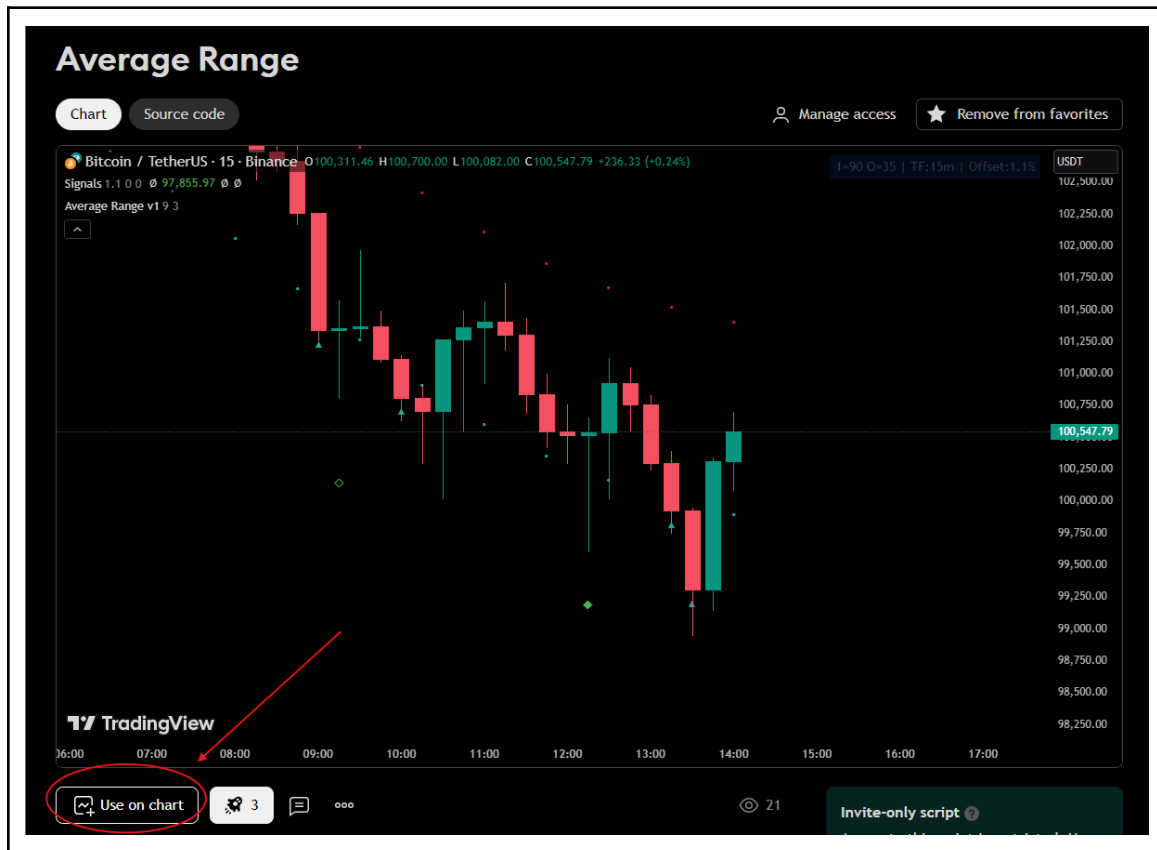
⚠ This indicator is versatile in its calculation where it can be applied to any market (e.g. *stocks, forex, crypto, or any market with sufficient price data*).

⚠ Not a crystal ball. It is a tool for measuring deviation.

B. Installation Instructions

1. Open this link: [Average Range](#)

2. Click “Use on Chart”



3. Done! ✓

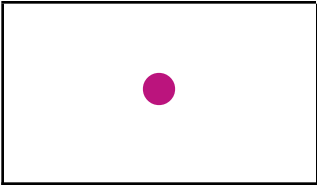
C. Key Components

Component	Description	Visual Cue
Upper Bound	Defined as the ceiling of where price can either approach or stretch to. <u>ON AVERAGE</u> ⚠ Price can absolutely stretch beyond this upper limit if momentum is strong enough.	 Red Circles
Lower Bound	Defined as the floor of where price can either approach or revert back to. <u>ON AVERAGE</u> ⚠ Price can absolutely revert below this lower limit if momentum is strong enough.	 Green Circles
Down Arrow	Prints when price either stretches above the upper bound or returns back into the average range.	 Red Triangle
Up Arrow	Prints when price either stretches below the lower bound or returns back into the average range.	 Green Triangle



D. Interpretation

The Average Range doesn't guess. It measures stretch, similarly to the guiding lines of a highway. It helps you identify where price can reach/revert on average, while also indicating when price is stretching beyond the norm.

Price Location	What It Means	General Strategy
Inside the band	Price is trading within the normal range and normal deviations.	With the indicator alone? Nothing. It simply confirms price is trading within the average norm. Reference other indicators to identify directional bias.
Approaching Upper Bound or Touching Upper Bound 	Price is approaching or at the upper boundary of the average trading range.	Watch for rejection or stretch beyond. <u>Pullback more likely to occur</u> Prepare to long if addl. indicator confluence signals strong momentum for continuation of stretch upward. (Signals, Ebb+Flow, Mom/Rev)
Above Upper Bound 	Price is stretched beyond the upper boundary. High deviation away from the mean.	"Too far high" zone <u>Pullback more likely to occur</u> (" ")
Approaching Lower Bound	Price is approaching or at the lower boundary of the average trading range.	Watch for support or stretch below.



or Touching Lower Bound 		<u>Rebound more likely to occur</u> Prepare to short if addl.indicator confluence signals strong momentum for continuation of stretch downward. (Signals, Ebb+Flow, Mom/Rev)
Below Lower Bound 	Price is stretched below the lower boundary. High deviation away from the mean.	"Too far low" zone <u>Rebound more likely to occur</u> (" ")

I. Cheat Sheet

- **Price within average range**
→ use other indicators for direction bias.
- **Touching upper or lower boundary**
→ reversion back into average range or continuation?
- **Outside of upper or lower boundary**
→ extreme stretch from the mean.

E. General Strategy + Examples

This indicator is designed to guide trading decisions by serving as the mean-reversion engine that identifies the current “normal” price range.

I. Multi-Timeframe Confluence

i. Sandwich Analogy

Think of each time frame as a specific condiment that combine as layers of confirmation

1. Big Picture (HTF) → [Monthly, Weekly, Daily] → These show the “big range” – where price might range and bounce between.

2. Medium Layer → [4H, 2H, 1H] This confirms the stretch is real.

3. Zoomed-in (LTF) → [1H, 30m, 15m] → This gives the actionable time frame for when price touches or extends beyond a boundary.

- Why do this? Lower time frames can seem to be touching a boundary, but how does it stand up when compared to your HTFs?

ex:

HTF: price near or outside price band? → “main zone”

MID TFs: Does it match HTF? → confirmation layer

LTF: wait for arrow to touch/stretch as a “trigger”

If 4H/1D lower band is touched, and 15m/1H has room for upside?

Look for Long opportunities.

II. Mean Reversion Fade

Fade extremes when price deviates away from the average range, *assuming confluence with other indicators for mean revision.*

This is the indicator's core use case, where bands create "overextended" zones.

i. Entry

- Price touches/exits band → Enter on rejection/reversion back into the average range
 - *This indicator alone is not sufficient for entries itself. confluence with other indicators are required to increase success rate*



ii. Exit

- Take profit on short at the opposite end of the band
 - This indicator is great at identifying exit targets



F. Applications and Limitations

This section covers practical ways to apply this indicator across different trading styles and timeframes, with a focus on multi-timeframe confluence. Use these guidelines to integrate the indicator into your overall trading system as you see fit.

I. Trading Style & Timeframes

Time Frame	Trading Setup	Use Case
Weekly	Position Trading	Macro fades Month long holds
Daily	Swing Trading	HTF reversions 3-7 day holds
4H	Swing Trading	HTF reversions 3-7 day holds
1H	Day Trading	LTF reversions entries/exits intraday holds
15m	Scalping	LTF reversions
5m	Scalping	LTF reversions

II. Limitations

While robust, the indicator has inherent mean-reversion pitfalls. Understand these to mitigate misinterpretation, over-reliance, and losses.

Limitation	Description	Interpretation
Lagging Nature	Confirmation after a move starts	Use LTF for timing Mitigation: Confluence between LTF & HTF theses.
Volume Dependency	The more volume, the higher the accuracy The lower the volume, the lower the accuracy	Avoid using against illiquid assets
False Extremes in Gaps	News gaps jump bands without reversions	Give less decision-weight on event days
Capped Length	Can be ineffective on very long TFs such as 1M	Tradingview only allows for a certain amount of references and lengths.

This indicator is a "stretch detector". Not a signal generator.

Win by waiting for the reversion snap, confirming with layers and other indicators such as Signals, Ebb + Flow, and/or Momentum/Reversion